



## FINANCING INSTRUMENT · CONFIDENTIAL

# SAFE AGREEMENT.

*Simple Agreement for Future Equity — Private Raise · Accredited. In lockstep with the Founder; capped at \$12,500,000 pre-money; convertible into Class B Preferred Shares. Offered solely to verified accredited investors under Rule 506(c) of Regulation D; general solicitation permitted to verified accredited only.*

|                                                    |                                                       |
|----------------------------------------------------|-------------------------------------------------------|
| ENTITY<br><b>Music Habitat, Inc.</b>               | SECURITY<br><b>SAFE → Class B</b>                     |
| PRE-MONEY CAP<br><b>\$12,500,000</b>               | SHARES DECLARED<br><b>10,000,000 · \$1.25 / share</b> |
| INVESTMENT RANGE<br><b>\$2,500 – By allocation</b> | DISCOUNT RATE<br><b>5% (95% of next round)</b>        |
| WARRANT COVERAGE<br><b>2x @ 95% FMV / 9 months</b> | GOVERNING LAW<br><b>Montana · AAA Missoula</b>        |

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## ARTICLE I

**Definitions, plainly stated.**

This Simple Agreement for Future Equity (this “SAFE” or “Agreement”) is entered into as of the date set forth on the signature page (the “Effective Date”), by and between Music Habitat, Inc., a Montana corporation (the “Company”), and the investor identified on the signature page (the “Investor”). This SAFE is offered exclusively to accredited investors whose status has been verified under Rule 501 of Regulation D, pursuant to the exemption provided by Rule 506(c). The following terms shall have the meanings set forth below:

**“SAFE Amount” means** The investment amount contributed by the Investor on the signature page, no less than \$2,500.00 (2,000 shares at the cap). The maximum is determined by allocation at the issuer’s discretion.

**“Qualified Financing” means** The next sale by the Company of equity securities in a bona fide financing transaction with aggregate gross proceeds of no less than \$1,000,000.00, excluding proceeds from this SAFE or any other SAFE issued in this Private Raise.

**“Conversion Trigger” means** The first to occur of: (i) a Qualified Financing of at least \$1,000,000.00; (ii) the Company achieving gross revenues of at least \$500,000.00; or (iii) the Company reaching at least 100,000 registered users. Upon the earliest of these events, this SAFE converts as provided in Article II.

**“Conversion Price” means** The lower of: (i) the Discount Price; or (ii) the Valuation Cap Price.

**“Discount Price” means** 95% of the price per share paid by investors in the Qualified Financing (a 5% discount).

**“Valuation Cap Price” means** The price per share equal to \$12,500,000.00 divided by the Company’s fully diluted capitalization immediately prior to closing. The Company has currently declared 10,000,000 authorized shares, implying \$1.25 per share at the cap.

**“Conversion Shares” means** The Class B Preferred Shares issued upon conversion of this SAFE.

**“Change of Control” means** A transaction in which any person or group acquires more than 50% of voting power, or a sale of all or substantially all assets.

**“Dissolution Event” means** Voluntary or involuntary liquidation, dissolution, winding up, or assignment for creditor benefit.

**“MFN Event” means** Issuance of any SAFE or convertible to another Private Raise or seed investor on materially more favorable terms.

## ARTICLE II

## Investment & Conversion

### 2.1 Investment

The Investor hereby contributes the SAFE Amount to the Company in exchange for the rights described in this Agreement.

### 2.2 Automatic Conversion Upon Trigger

Immediately upon the earliest Conversion Trigger to occur — a Qualified Financing of at least \$1,000,000, gross revenues of at least \$500,000, or 100,000 registered users — this SAFE shall automatically convert into Class B Preferred Shares equal to the SAFE Amount divided by the Conversion Price. The Company shall deliver written notice and issue Conversion Shares within ten (10) business days of the triggering event.

### 2.3 Conversion Price Illustration

Example: Investor contributes \$5,000. Company has 10,000,000 shares declared at \$1.25/share. Company closes a Qualified Financing at \$1.875/share. Discount Price = \$1.78125. Valuation Cap Price = \$1.25 (the lower). Investor receives 4,000 Class B Preferred Shares.

### 2.4 Change of Control Prior to Conversion

Upon a Change of Control prior to conversion, the Investor shall elect within ten (10) business days: (i) cash payment equal to the SAFE Amount; or (ii) Class B shares equal to the SAFE Amount divided by the Valuation Cap Price. Failure to elect defaults to (i).

### 2.5 Dissolution Event Prior to Conversion

Upon a Dissolution Event prior to conversion, the Investor shall be entitled to receive payment equal to the SAFE Amount, senior to Common Shares but subordinate to all creditors. Pro-rata if insufficient assets.

### 2.6 No Expiration; No Interest

This SAFE does not expire, bears no interest, and has no maturity date. The Company has no obligation to repay the SAFE Amount except as expressly provided in Sections 2.4 and 2.5.

## ARTICLE III

## Class B Share Rights

Upon conversion, the Investor shall hold Class B Preferred Shares with the following rights, in lockstep with Class A Founders Shares:

- **Voting:** 1:1 per share. Class B votes with Class A as a single class.
- **Economics:** Pari passu with Class A Founders Shares — in economic lockstep with the Founder & CEO.
- **Information Rights:** Quarterly financials within 45 days; annual within 90 days.
- **Preemptive Rights:** Pro-rata on new equity issuances, subject to standard carve-outs.
- **Tag-Along:** Pro-rata participation if any Class A holder sells to a third party.
- **Drag-Along:** Obligation to participate in a Board-approved Change of Control.
- **Dilution:** 100% dilutable in future financings, option pools, and warrant exercises.
- **Recognition:** Guardians of the Stage badge and perks — non-economic recognition only.



## ARTICLE IV

**The Warrant, granted separately.**

Simultaneously with this SAFE, the Company shall issue to the Investor a Warrant to purchase up to two times (2×) the number of Conversion Shares at an exercise price equal to 95% of Fair Market Value, exercisable within nine (9) months of the Grant Date, subject to the separate Warrant Agreement.

*Important Notice: The Warrant expires nine (9) months from the Grant Date. If a Conversion Trigger has not occurred by that date, the Warrant will expire before conversion occurs. Investors should weigh the timeline relative to the anticipated next financing.*



## ARTICLE V

## Representations & Warranties

### 5.1 Company Representations

The Company represents and warrants: (a) duly organized Montana corporation in good standing; (b) full corporate authority; (c) valid, binding, enforceable obligation; (d) no organizational-document violation; (e) no material litigation pending or threatened; (f) cap table reflects 10,000,000 authorized shares.

### 5.2 Investor Representations

The Investor represents and warrants: (a) received and reviewed all offering documents; (b) understands the speculative, illiquid nature; (c) investing for own account; (d) is an accredited investor as defined in Rule 501 of Regulation D and has provided, or will provide, documentation sufficient for the Company to verify accredited status under Rule 506(c); (e) had opportunity to ask questions; (f) Investor Questionnaire and accreditation verification materials are true and complete.

## ARTICLE VI

**Most-Favored-Nation, equal footing.**

If an MFN Event occurs prior to conversion, the Company shall notify the Investor within five (5) business days. The Investor shall have fifteen (15) days to elect to amend this SAFE to incorporate more favorable terms. The MFN right shall not apply to any SAFE issued to a Qualified Financing investor.

## ARTICLE VII

## Governing Law & Dispute Resolution

### 7.1 Governing Law

This SAFE shall be governed by and construed in accordance with the laws of the State of Montana, without regard to its conflict of laws provisions.

### 7.2 Binding Arbitration; Jury Trial & Court Access Waiver

Any dispute, claim, or controversy arising out of or relating to this SAFE that cannot be resolved by good-faith negotiation shall be resolved exclusively through binding arbitration administered by the American Arbitration Association (AAA), with proceedings conducted in Missoula, Montana. The arbitrator shall apply Montana law. The prevailing party shall be entitled to recover reasonable attorneys' fees and costs.

THE PARTIES KNOWINGLY AND VOLUNTARILY WAIVE THE RIGHT TO A JURY TRIAL AND THE RIGHT TO ACCESS THE COURTS TO RESOLVE DISPUTES. THE PARTIES KNOWINGLY AGREE TO RESOLVE ALL DISPUTES RELATED TO THIS AGREEMENT THROUGH BINDING ARBITRATION ADMINISTERED BY THE AAA IN MISSOULA, MONTANA. THE PARTIES ACKNOWLEDGE THEY HAVE HAD THE OPPORTUNITY TO DISCUSS THIS ARBITRATION PROVISION WITH COUNSEL.

### 7.3 Amendment

No amendment except by written instrument signed by both parties, except as provided in the MFN clause.

### 7.4 Entire Agreement

This SAFE, with the Subscription Agreement, Warrant Agreement, Stock Purchase & Transfer Agreement, Operating Agreement, and Stockholders' Agreement (upon conversion), constitutes the entire agreement.

### 7.5 Severability

Invalid provisions modified to be enforceable; remaining provisions survive.

### 7.6 Notices

In writing, delivered by email with confirmed delivery or overnight courier.

### 7.7 Counterparts; Electronic Signatures

Electronic signatures via DocuSign, Adobe Sign, or Carta shall be deemed originals.

### 7.8 No Stockholder Rights Prior to Conversion

The Investor has no stockholder rights until conversion.





EXECUTION

## Signature Page

IN WITNESS WHEREOF, the parties have executed this SAFE as of the Effective Date.

| COMPANY                                                     | INVESTOR                  |
|-------------------------------------------------------------|---------------------------|
| <b>Music Habitat, Inc.</b>                                  |                           |
| _____<br>BY / NAME — BRANDON BEARD<br>TITLE — FOUNDER & CEO | _____<br>NAME             |
| _____<br>DATE                                               | _____<br>SIGNATURE        |
| _____<br>EMAIL                                              | _____<br>DATE             |
|                                                             | _____<br>SAFE AMOUNT (\$) |
|                                                             | _____<br>EMAIL            |
|                                                             | _____<br>ADDRESS          |